COUNTERFACTUAL RECORD — NEVER OCCURRED — NOT FILED ON ANY ACTUAL DOCKET — ALL IDENTIFIERS ARE FICTIONAL

Counterfactual Opinion Exercising Jurisdiction and Affirming Count I Summary Judgment

Filed: June 8, 2026 Docket No. SYN-CA4-26-CV-4102-CF-NEVER-OCCURRED

United States Court of Appeals for the Fourth Circuit

Proceeding: Appeal from a supported partial final judgment on Count I.

Asterglen Freight Software, Inc., Appellant, v. **Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Appellees.**

PER CURIAM:

Asterglen appeals dismissal of its $480,000 contract claim. The district court entered summary judgment because Asterglen terminated the Pilot License and demanded damages without the written notice and fifteen-day cure opportunity required by Section 9.2.

Afterward, the parties dismissed Copper Kestrel's counterclaim and narrowed Count II to distinct post-termination conduct. The district court expressly found no just reason for delay, explained why, and entered separate judgment on Count I. We hold the certification valid, exercise jurisdiction, and affirm.

I. Contract and Deployment Record

The April 15, 2024 Pilot License covered twelve terminals. Sections 3.4 and 11.3 required signed writings for additions, amendments, and waivers; Virginia law governs.

Copper proposed twenty-nine additions on June 3, but Asterglen never signed. Asterglen's June 10 response permitted a conditioned load test. Copper's June 14 statement of work with Meridian did not amend the License.

By July 1, forty-one identifiers existed: twelve under the pilot and twenty-nine tied to the proposal. The parties dispute their operational meaning and a July 8 call. Copper recalls permission to continue current activity; Asterglen recalls only bounded testing and denies any oral amendment.

Those disputes concern authorization. They do not alter the undisputed notice sequence on which the district court relied.

II. Audit, Termination, and Cure Evidence

Asterglen completed an internal compliance audit on July 18. The audit identified forty-one provisioned identifiers and questioned whether activity at the twenty-nine proposed additions exceeded the written testing conditions. Asterglen did not transmit the audit as a Section 9.2 notice containing a cure date.

On July 22, Asterglen disabled a shared staging credential, declared the Pilot License terminated immediately, and demanded $480,000. The demand combined $348,000 in asserted license and contract value with $132,000 in response, containment, and forensic-review costs. The communication allowed zero days to cure.

Copper promptly disputed the action and invoked Section 9.2. It stated that reduction to the original twelve terminals was feasible within three business days. Meridian continued inventory, mitigation, session-closure, continuity, and reduction-assistance work through July 25. A later controlled test using the preserved configuration completed the reduction sequence within three business days while maintaining the twelve-terminal baseline.

Asterglen does not dispute that its July 22 writing imposed immediate consequences. It argues that earlier communications supplied actual notice, that completed use could not be cured, and that a formal opportunity would have been futile.

III. Appellate Jurisdiction

Section 1291 gives this Court jurisdiction over final decisions of the district courts. In a multiple-claim action, Rule 54(b) permits a final judgment on fewer than all claims only when the adjudicated claim has been finally resolved and the district court expressly determines that there is no just reason for delay.

Both requirements are met. The January 12 order dismissed Count I with prejudice, leaving nothing for the district court to do on that contract claim. The February 4 certification used the required express language and separately assessed claim relationship, possible mootness, repeated review, setoff, litigation progress, and equitable hardship.

Asterglen filed its notice of appeal on March 3, 2026, within the thirty-day period that ended March 6. No party disputes timeliness in this appeal.

The assessment was supported by changed facts. Copper's counterclaim had been dismissed with prejudice and could no longer create an offset or require a second decision about Section 9.2. Count II had been narrowed to Meridian's independent post-July 22 conduct, with distinct damages excluded from Count I. The remaining tort dispute would not decide Copper's contract liability or the notice condition.

The district court did not merely recite the rule. It identified why immediate review would not fragment overlapping issues in the posture before it. That reasoned determination falls within its permissible discretion. The February 4 separate judgment is final and appealable.

IV. Standards of Review and Governing Law

We review de novo a grant of summary judgment, applying the same standard as the district court. Judgment is appropriate when the admissible materials show no genuine dispute of material fact and the movant is entitled to judgment as a matter of law. We draw reasonable factual inferences for Asterglen, the nonmovant, but a dispute is material only if it could affect the governing legal result.

Interpretation of an unambiguous written contract is a question of law. The Pilot License selects the law of the Commonwealth of Virginia. A federal court exercising diversity jurisdiction applies that substantive law, while federal rules govern summary-judgment procedure.

Virginia contract law gives unambiguous terms their ordinary meaning and reads the writing as a whole. Courts do not disregard words the parties chose or create an exception absent from the agreement. When a contract makes notice and an opportunity to cure prerequisites to a specified remedy, a party seeking that remedy must satisfy the agreed sequence unless a recognized ground excuses performance.

The parties agree on the text of Section 9.2 and on the contents of the July 22 communication. Their disagreement about what happened on July 8 does not create a material dispute if Section 9.2 applies even on Asterglen's preferred account.

V. Text of Section 9.2

Section 9.2 provides that before either party terminates the License for material breach or seeks breach damages, that party must give written notice describing the breach and allow fifteen calendar days to cure. The provision places the written notice and cure interval before each listed remedy. Its use of “must” states a mandatory condition, and “before” establishes sequence.

Asterglen selected both conditioned remedies on July 22. Its message described what it regarded as unauthorized expanded use, but description alone was not the full contractual procedure. The same message disabled the shared credential, declared termination immediately effective, and demanded the entire $480,000. It identified no future cure date and no corrective result that would prevent those consequences.

Giving the writing its ordinary meaning, an opportunity offered after termination and a present damages demand would not satisfy the bargain. Here, Asterglen offered no later opportunity in any event. It expressly refused Copper's request to treat July 22 as the start of a fifteen-day period.

Section 9.2 therefore was not satisfied. The remaining questions are whether earlier events substantially performed the condition or whether compliance was excused.

VI. Earlier Communications Were Not the Required Notice

Asterglen relies on the June 10 testing conditions, the July 8 discussion, and its internal July 18 audit. None provided the notice and opportunity required by Section 9.2.

The June 10 response preceded the disputed activity and administered a load test. It warned that production expansion required a signed change, but it did not identify a then-existing material breach, prescribe a cure, or state that termination or damages would follow after fifteen days. A prospective operating condition is not a breach notice merely because later conduct may violate it.

The July 8 call was oral. The parties disagree about its content, and neither account includes a written statement commencing a contractual cure period. Section 11.3 also forecloses treating an uncertain oral exchange as a signed amendment or waiver.

The July 18 audit was internal. It identified a concern but was not delivered to Copper with a requested corrective result or deadline. Copper could not use an undisclosed assessment as a fifteen-day opportunity.

Actual awareness that Asterglen opposed unrestricted production is not equivalent to the promised procedure. The clause required a writing that converted disagreement into a defined breach assertion and allowed an interval for responsive performance.

VII. Substantial Performance and Prior Breach

Asterglen next contends that repeated warnings substantially performed Section 9.2 and that Copper's alleged deployment was a prior material breach. Neither contention permits recovery on Count I.

Substantial performance concerns whether a party furnished the essential benefit of its promise. The essential benefit here was not general awareness of a contractual limit. It was a final written identification of the asserted breach followed by fifteen calendar days in which Copper could conform before termination or breach damages. Immediate disablement and demand omitted the central protection rather than a minor detail.

Assuming that Copper placed all twenty-nine proposed terminals into unauthorized operational use, Section 9.2 still governs. The provision is expressly triggered by material breach. Reading material breach itself to eliminate the cure condition would deprive the clause of its stated function. The agreement contains separate security measures but does not transform an immediate protective step into completed contractual termination and damages.

Asterglen could have preserved logs, restricted new activity as reasonably necessary, described the alleged breach, and allowed the agreed period. It instead selected final remedies at once. Copper's disputed conduct does not establish Asterglen's performance of a distinct condition precedent.

VIII. Futility and Repudiation

Asterglen argues that notice would have been futile because Copper denied wrongdoing and relied on the July 8 conversation. The summary-judgment record does not support that conclusion.

Section 9.2 contains no express futility exception. We need not decide whether Virginia law could ever excuse a condition where performance was demonstrably useless, because Copper did not unequivocally refuse cure. Its July 22 response offered to return the configuration to twelve terminals within three business days while preserving its disagreement about liability. Preserving a legal position is not the same as refusing corrective performance.

Nor did Copper repudiate the notice procedure. Before July 22, the parties were still disputing the boundary of testing permission. Asterglen had not sent a written breach demand identifying an end state and due date that Copper rejected. After receiving immediate termination, Copper invoked the clause rather than renouncing it.

Futility cannot be established by the absence of a cure opportunity that the notifying party declined to provide. At minimum, the evidence permits no conclusion that compliance was certain to fail. Because Asterglen bears the consequence of seeking conditioned remedies without satisfying the condition, the district court correctly rejected excuse as a basis for allowing Count I to proceed.

IX. Cure Feasibility

The technical record reinforces the conclusion that the omitted opportunity had practical value. Copper's operations personnel estimated a three-business-day reduction. Meridian's July 22–25 work addressed inventory, open sessions, continuity, and controlled closure. A later test reproduced the forty-one-identifier relationships and reduced the active configuration to twelve within three business days.

The test was not identical to live July traffic, and it does not prove that cure would have been effortless. It encountered a cached-route warning and required attention to shared references. Those limitations go to implementation detail, not impossibility. Fifteen calendar days allowed materially more time than the tested sequence used.

Asterglen contends that completed operational use could not be undone. That may affect the content of a cure or the measure of non-breach remedies, but Asterglen's own contract required a cure interval before breach damages as well as termination. It could have specified cessation, reduction, accounting, and preservation requirements, then assessed compliance at the end of the period.

The record thus supplies affirmative evidence against futility. More fundamentally, the judgment follows from the undisputed absence of the promised sequence; feasibility confirms that the omission was substantive rather than harmless.

X. The $480,000 Contract Claim

Count I seeks the same $480,000 demanded on July 22. Asterglen identifies $348,000 as asserted contract or license value for twenty-nine additional terminals and $132,000 as response, containment, and forensic-review costs. The unsigned June 3 proposal used the existing $12,000-per-terminal rate but did not create a payment obligation.

We do not decide whether Copper's activity would otherwise support either component, whether every cost was caused by expanded use, or whether contractual limitations would reduce recovery. Section 9.2 placed the notice-and-cure opportunity before a demand for breach damages. Asterglen made the demand without satisfying that prerequisite.

Asterglen suggests that response costs had already accrued and therefore could not be cured. The clause addresses the remedy sought, not only the physical reversibility of each consequence. A timely cure could have reduced continuing loss, clarified activity, supported an accounting, or prevented termination. The parties chose to condition breach damages on that process.

Because the complete monetary claim rests on breach remedies pursued through the defective July 22 sequence, Copper was entitled to judgment on Count I. The district court properly dismissed that count with prejudice while leaving any distinct tort claim outside the ruling.

XI. Effect on Narrowed Count II

Our decision is confined to Count I between Asterglen and Copper Kestrel. We express no view on whether Meridian Silt acted intentionally or improperly after receiving the July 22 communication, whether its work was authorized mitigation, or whether Asterglen suffered distinct post-termination loss.

The January 28 stipulation ensures that the remaining claim does not depend on a determination that Copper breached the Pilot License. Asterglen dismissed the pre-termination inducement theories and excluded damages contained in the $480,000 demand. Meridian may therefore litigate its own notice, purpose, task records, and defenses without relitigating the legal consequence of Section 9.2 for Count I.

That separation also confirms the soundness of exercising jurisdiction. The disposition today will neither direct the result of narrowed Count II nor require a later appellate panel to reconsider the same contract question. Any later appeal would arise from a different operative period, different defendant conduct, and distinct damages.

The district court remains free to manage the continuing schedule. Rule 54(b) certification did not stay proceedings, and our affirmance does not expand the certified judgment. Copper's former counterclaim remains dismissed with prejudice and cannot reappear as an offset.

XII. Disposition

The district court finally disposed of Count I, expressly determined that there was no just reason for delay, and supported that determination with case-specific findings responsive to the posture created by the parties' stipulation. We therefore have jurisdiction under 28 U.S.C. § 1291.

On the merits, Virginia law requires enforcement of the Pilot License's unambiguous notice-and-cure sequence. Even assuming that Copper Kestrel materially exceeded the twelve-terminal scope and that Asterglen's account of the July 8 conversation is correct, Asterglen did not give written notice followed by fifteen calendar days to cure before terminating for breach and seeking $480,000 in breach damages. The June conditions, oral call, and internal audit did not perform that requirement. The record also does not establish repudiation, excuse, or futility.

The grant of summary judgment to Copper Kestrel is AFFIRMED. Count I remains dismissed with prejudice. Narrowed Count II against Meridian Silt remains pending in the district court and is unaffected by this judgment. Copper Kestrel may recover taxable appellate costs under the governing rules; the Clerk shall enter judgment contemporaneously with this opinion.

AFFIRMED.